

AMERICAN EXPRESS COMPANY

(NYSE: AXP)

A superb franchise at a price that assumes the credit cycle has been repealed

REDUCE — \$250.00 Target

Equity Research Note · Financial Services — Credit Services · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
REDUCE	\$250.00	\$302.78	-17.4%	Medium

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$204 bn (0.68 bn sh × \$302.78)	2026E diluted EPS guidance	\$17.30 – \$17.90 (~17–18x the \$302.78 price)
52-week range	~\$291 – \$387	Return on equity	36–38%
Price / fair value	\$302.78 / \$250.00	Credit quality (Q2 2026)	Net write-offs 2.0%; delinquencies 1.2%
Implied downside	–17%	Capital strength / return	CET1 10.4%; \$2.9 bn returned in Q2 2026 (\$2.2 bn buybacks)
2025 revenue, net of interest expense	\$72.2 bn	Next catalyst	Holiday billed-business prints; 2027 guidance (January 2027)

1 Investment Thesis

American Express is executing superbly. Second-quarter 2026 revenue net of interest expense grew 10% to \$19.64 billion, billed business accelerated 9% on an FX-adjusted basis — the fastest pace in three years — net card fees climbed 15% to a record \$2.9 billion for the 32nd consecutive quarter of double-digit growth, and diluted EPS rose 11% to \$4.53. Credit quality is pristine: net write-offs flat at 2.0%, delinquencies at 1.2%, and a \$1.1 billion provision that actually declined on a reserve release. Management raised full-year revenue growth guidance to 10% while holding EPS guidance at \$17.30–\$17.90. Return on equity runs at 36–38%. By every operating measure, this is a premium franchise performing at a premium level.

And the market has noticed — which is precisely the problem. At \$302.78, American Express trades at roughly 17–18 times the \$17.30–\$17.90 EPS guidance for a business whose through-cycle revenue growth is high-single digits and whose earnings are, at bottom, a leveraged bet on affluent consumer spending and benign credit. The premium-spend flywheel — acquire affluent cardmembers, monetize through discount revenue and rising annual fees, reinvest in rewards and the Platinum refresh — is working beautifully right now because the affluent consumer is employed, spending, and current on payments. Every one of those conditions is cyclical. The reserve release flattered the quarter; the 32 quarters of double-digit fee growth are a triumph of compounding that gets harder, not easier, with each successive quarter; and the 12% expense growth — driven by engagement costs and the Platinum refresh — shows how expensive it is to keep the flywheel spinning.

Our judgment, on a probability-weighted scenario DCF over a 10-year horizon, is fair value of \$250 — about 17% below the current price. The base case gives Amex full credit for the franchise: billed business compounding at high-single digits, card fees growing double digits for several more years before normalizing, credit staying near current benign levels through the explicit period, and the buyback continuing to retire 2–3% of shares annually. But it refuses to capitalize today's pristine credit and peak affluent spending as permanent, and the bear case — which sits below the price, as required — models what Amex shareholders have lived through before: a consumer downturn where billed business stalls, provisions rise by billions, and the multiple compresses from premium to merely good. We rate the

stock REDUCE. This is a wonderful company at a price that assumes the credit cycle has been repealed.

The forward question is not whether Amex is well run — it is superbly run — but what the next leg of the cycle does to a 17–18x multiple. Amex has traded at 10–12x earnings in softer environments within recent memory. The normalization mechanics are ordinary, not catastrophic: net card-fee growth faces the arithmetic of a larger base and the limits of annual-fee pricing power; the reserve release that flattered 2026 provisions reverses when credit normalizes, and provisions rising by even \$1–2 billion annually is a meaningful EPS headwind; expense growth in the low teens means operating leverage is thinner than the revenue line suggests. None of this impairs the franchise. All of it reprices the multiple — and the distance from 17–18x to 12–13x is the downside the REDUCE rating is meant to capture.

Why the market will care (eventually)

- **The price capitalizes peak-cycle credit as permanent.** Net write-offs at 2.0% and delinquencies at 1.2% are cyclical lows, and the 2026 provision benefited from a reserve release. A lender's earnings at the benign end of the credit cycle deserve a premium to banks — not immunity from the cycle.
- **The fee-forward mix shift is real de-risking, but it is already in the price.** Thirty-two straight quarters of double-digit card-fee growth have steadily moved the revenue mix toward recurring, high-margin annual fees that do not disappear in a spending downturn. That structural improvement is genuine — and the market has already paid for all of it, and then some.
- **International is the underappreciated leg — and the reason this is REDUCE, not SELL.** International Card Services posted 20% billed-business growth in Q1 2026, with years of runway. The franchise deserves representation in a portfolio; it simply does not deserve 17–18x peak earnings.

2 Business Overview — What American Express Company Is Doing

(New York, New York; CEO Stephen Squeri)

American Express operates a closed-loop payments network — it is simultaneously the card issuer, the network, and (largely) the acquirer — which gives it data, economics, and customer relationships that the open-loop networks (Visa, Mastercard) do not have. Revenue comes from discount revenue (the merchant fee on billed business), net card fees (annual fees, now a \$2.9 billion quarterly run-rate business growing 15%), and net interest income on revolving card balances (\$4.6 billion in Q2 2026, up 11%). The customer base skews affluent: premium card products (Platinum, Gold, Centurion), heavy travel-and-entertainment exposure (T&E billed business up 10% in the quarter), and small-business and corporate cards.

The economics are among the best in financial services. Cards-in-force reached 155.1 million, up 4%; network volumes were \$516.8 billion in the quarter, up 9%; and the Common Equity Tier 1 ratio of 10.4% with \$45.2 billion of cash supports both growth investment and capital return — \$2.9 billion returned in Q2 2026 alone (\$2.2 billion of buybacks at an average price of \$315.77, plus dividends). The fee-forward strategy is deliberate: annual fees are recurring, high-margin, and less cyclical than spend-based revenue.

What the company is doing now

- **The affluent-spend flywheel.** Acquire premium cardmembers, monetize through discount revenue and rising annual fees, reinvest in rewards and card refreshes. The Platinum refresh cycle is currently driving acquisition and engagement — at 12% expense growth, the cost of keeping the wheel turning.
- **Closed-loop underwriting advantage.** Amex underwrites its own cardmembers, which is why its credit performance is structurally better than monolines' — 2.0% net write-offs versus multiples of that at subprime lenders. This advantage persists through cycles; it does not eliminate them.
- **International acceptance and billed business.** International Card Services grew billed business 20% in Q1 2026 — the clearest second engine in the portfolio, with years of runway in markets where Amex acceptance is still expanding.
- **Capital return as a core output.** With a 10.4% CET1 ratio, Amex returned \$2.9 billion in a single quarter. Our valuation models 68% of earnings returned annually (dividends plus net buybacks) — the correct cash-flow-to-equity for a lender.

3 Financial Analysis

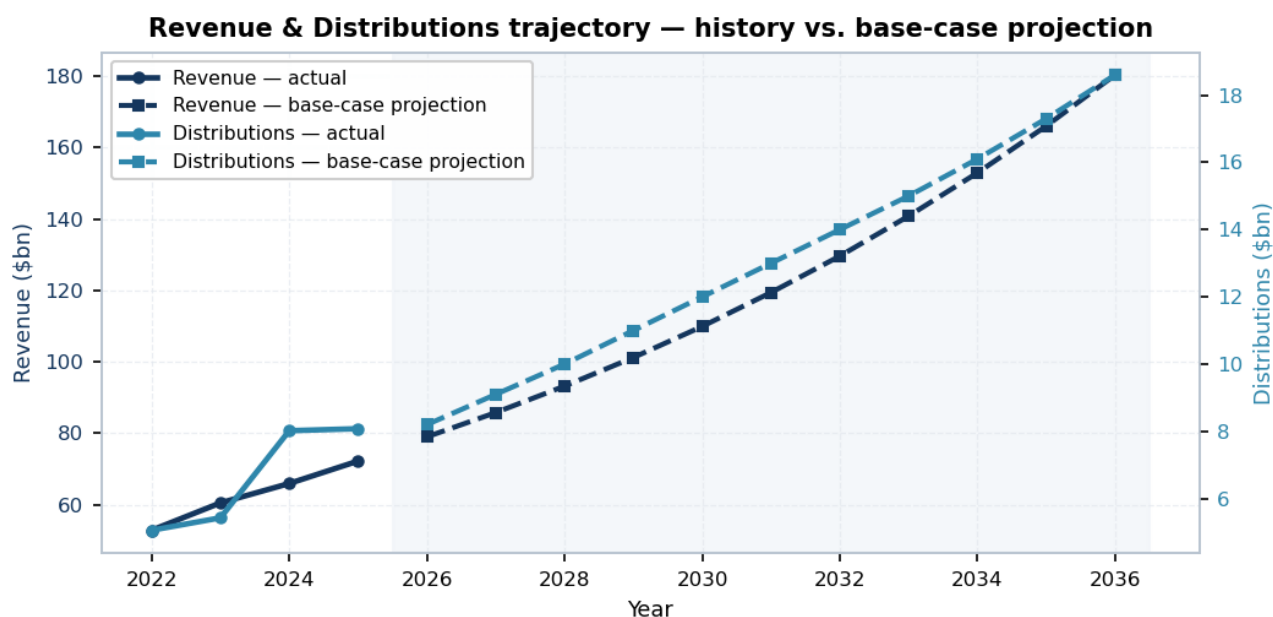
	2023	2024	2025	Q2 2026
Revenue, net of interest expense (\$bn)	60.5	66.0	72.2	19.6
YoY growth	—	+9.0%	+9.5%	+10%
Net card fees (\$bn, quarter)	—	—	—	2.9
Net interest income (\$bn, quarter)	—	—	—	4.6
Net write-offs	—	—	—	2.0%
Delinquency rate	—	—	—	1.2%
Return on equity	—	—	—	36–38%
Distributions: div + buybacks (\$bn)	5.4	8.0	8.1	2.9

Annual revenue from company filings via Yahoo Finance; quarterly figures from the Q2 2026 release. Distributions = cash dividends paid + share repurchases (cash-flow statement). — = not disclosed in that period.

Revenue net of interest expense grew from \$60.5 billion in 2023 to \$72.2 billion in 2025, a two-year run of roughly 9% annual growth, with Q2 2026 up 10% to \$19.64 billion. The mix is improving in the right direction: net card fees at a \$2.9 billion quarterly run rate (+15%, the 32nd straight double-digit quarter) are the highest-quality dollars in the P&L, and net interest income of \$4.6 billion (+11%) shows the revolving book growing alongside spend. But 12% expense growth is outrunning the revenue line — engagement marketing and the Platinum refresh are expensive — so operating leverage is modest despite the top-line strength.

Credit is the swing factor and it is currently at the benign end. Net write-offs of 2.0% and delinquencies of 1.2% are cyclical lows; the \$1.1 billion Q2 provision declined on a reserve release, which flatters the earnings run rate. Our bear case models the normalization Amex shareholders have seen before: a genuine recession path with EPS falling 40% in 2027 and 5% in 2028 (2020 showed EPS can fall 53% in a single year when provisions triple), buybacks suspended through 2028, and the payout falling back to a leaner 60%. The balance sheet can absorb this — CET1 of 10.4% and \$45.2 billion of cash — but the multiple cannot absorb it at 17–18x, which is the entire point of the REDUCE.

Revenue & cash-flow trajectory

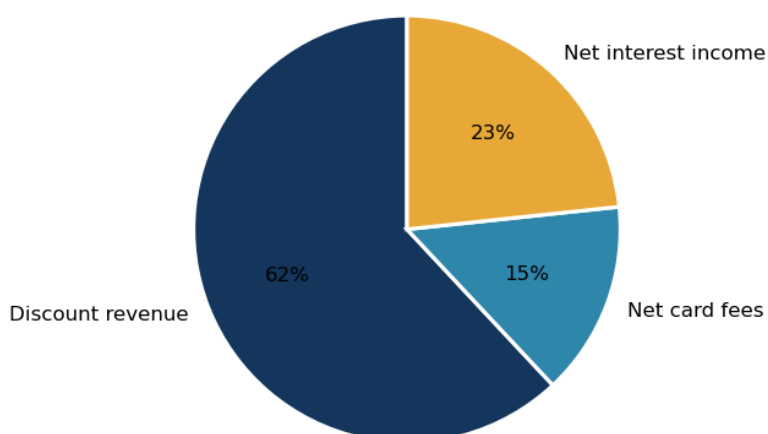


History: revenue net of interest expense from filings via Yahoo Finance; 'Distributions' = cash dividends paid + share repurchases (cash-flow statement) — the cash-flow-to-equity used in the valuation. Projection: base-case path (revenue at ~8.6% CAGR; distributions at 68% payout of modeled EPS). 2026E revenue ~\$79B annualized from Q2 2026.

4 Moat & Competition

- **The closed loop is the moat.** Issuing, network, and acquiring in one house gives Amex proprietary spend data that open-loop networks never see — the foundation of its underwriting edge and its fraud performance. Competitors cannot replicate the data asset without replicating the business model.
- **The affluent franchise is self-reinforcing.** Premium cardmembers spend more per card, default less, and pay annual fees for the privilege — 155.1 million cards-in-force and rising average proprietary spend. Chase and Citi now contest the tier aggressively, so the moat requires constant reinvestment (the 12% expense growth is the toll).
- **Fee-forward mix de-risks the cycle.** Thirty-two quarters of double-digit card-fee growth have built a \$2.9 billion quarterly annuity of high-margin, recurring revenue that does not vanish when spending pauses. This is a genuine structural improvement — and the main reason the through-cycle multiple deserves a premium to banks.
- **The moat's weak link is the interface.** Digital wallets, buy-now-pay-later, and alternative rails compete for the transaction interface, particularly with younger affluent cohorts. Acceptance parity in the US is effectively complete, which removes an old objection but also an old growth lever.

Revenue mix, 2026E annualized (~\$79 bn)

Revenue mix, 2026E annualized (~\$79 bn)**5 Valuation — 10-year scenario distribution DCF (dividends + net buybacks), Fair Value \$250**

We value American Express on a 10-year scenario DCF of per-share total shareholder distributions — dividends plus net buybacks — the correct cash-flow-to-equity for a lender, weighted 25% / 50% / 25%. Discount rates are scenario-specific: base 10% (high-quality financial, but with genuine credit-cycle exposure), bear 12.5% (base + 250bp, distress pricing), bull 8.5% (base – 150bp, above the 8% floor). Terminal growth is 2.5% in base and bull and 1.75% in the bear, applied to year-10 distributions at normalized mid-cycle credit costs — never today's 2.0% write-off rate and reserve-release-assisted provisions.

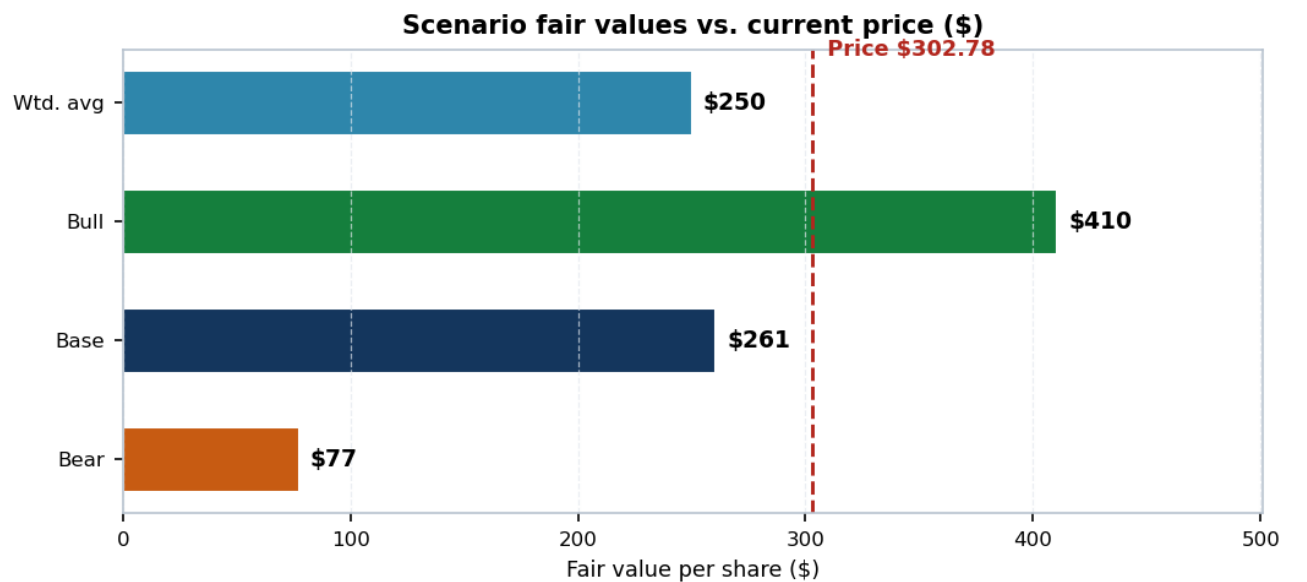
The scenario FVs are \$77.36 (bear) / \$260.55 (base) / \$410.48 (bull), weighting to \$252.23 — our \$250 target, about 17% below the \$302.78 close. The bear case is a genuine recession path: EPS falls 40% in 2027 and 5% in 2028 as provisions spike, buybacks are suspended through 2028 (the 2020 playbook), and the payout resumes at a leaner 60%. The base case fades EPS growth from the realized 11.5% (2019–25) to a 10-year CAGR of about 8.6% with a constant 68% total payout. Terminal value is 45–65% of equity value across scenarios — inside the 70% guardrail, disclosed here.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Credit-cycle turn: billed business stalls, net write-offs rise toward 3%+, provisions rise \$2-3B annually, buybacks suspended through 2028, card-fee growth decelerates to mid-single digits, multiple compresses to 12-13x normalized earnings.	+1.1%	n/a (payout DCF)	12.5% / 1.8%	44%	\$77.36
Base	Billed business compounds at high-single digits, card fees grow double digits for several more years before moderating, credit normalizes only mildly, expenses track revenue, buyback retires 2-3% of shares annually at a 68% total payout.	+8.6%	n/a (payout DCF)	10.0% / 2.5%	55%	\$260.55
Bull	Affluent-spend flywheel sustains double-digit billed-business growth, international becomes a second engine, credit stays pristine, and the market permanently awards a premium-network multiple on a 68% total payout.	+11.4%	n/a (payout DCF)	8.5% / 2.5%	65%	\$410.48

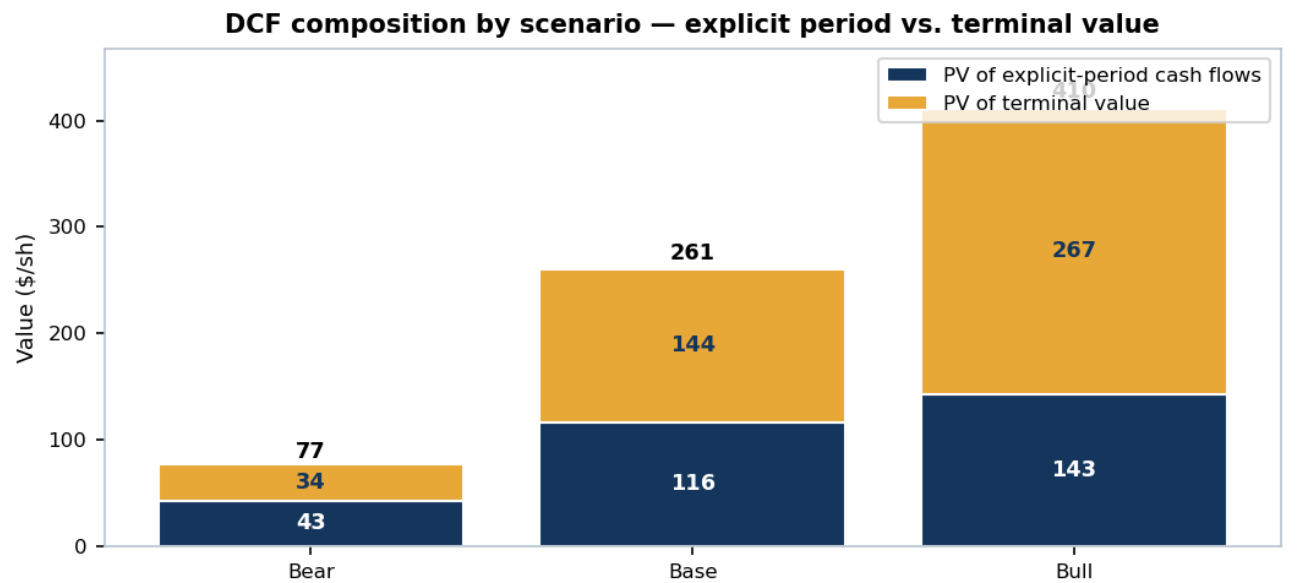
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Wtd. avg	Probability-weighted (25/50/25) → \$250.00 target					\$250.00

AXP is valued on per-share shareholder distributions (dividends + net buybacks); the 'Rev CAGR' column shows each scenario's 10-year EPS CAGR, and composition is in \$/share. Payout: 68% of earnings in base and bull (60% post-recession in the bear).

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$/sh. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Credit-cycle turn.** Write-offs at 2.0% and delinquencies at 1.2% are cyclical lows; normalization would push provisions up by billions and hit EPS directly — 2020 showed EPS can fall 53% in a single year when provisions triple.
- **Affluent-spending slowdown.** Billed business is concentrated in discretionary and T&E; the affluent cohort is the most exposed to asset-price and employment shocks.
- **Fee-growth arithmetic.** Thirty-two quarters of double-digit card-fee growth gets harder against a larger base; annual-fee pricing power has limits, and Chase/Citi contest the premium tier.
- **Expense intensity.** 12% expense growth to acquire and engage premium cardmembers compresses operating leverage if revenue growth moderates.
- **Multiple compression.** 17–18x earnings is a peak-cycle multiple for a consumer-credit business; re-rating to historical mid-cycle multiples implies 20%+ downside without any fundamental impairment.
- **Disintermediation.** Digital wallets, buy-now-pay-later, and alternative rails compete for the transaction interface, particularly with younger affluent cohorts.

What would change our mind

A genuine credit scare or consumer slowdown that takes the stock 20–25% lower while the franchise and underwriting advantage remain intact would make this a BUY — Amex should be bought when credit fear peaks, not at the top of the credit cycle. Sustained double-digit card-fee growth with stable credit through an actual economic slowdown would prove the fee-forward model has structurally de-risked earnings and justify a higher multiple. Evidence that international billed business is becoming a second double-digit growth engine at scale would raise through-cycle growth assumptions. Conversely, delinquencies inflecting upward while the multiple holds would confirm the peak-cycle thesis and deepen the REDUCE view. A structural loss of pricing power on annual fees, or share loss in premium acquisition to fintech competitors, would impair the flywheel thesis. We watch: monthly billed-business prints, delinquency and write-off trends, card-fee growth versus the 32-quarter streak, and expense growth relative to revenue.

7 Methodology

We value American Express on a 10-year scenario discounted-cash-flow framework built on per-share total shareholder distributions — dividends plus net buybacks — which is the correct cash-flow-to-equity for a lender whose reported operating cash flow is polluted by credit-book working capital. Bear, base, and bull scenarios carry scenario-specific discount rates (12.5% / 10.0% / 8.5%) and terminal growth assumptions (1.75% / 2.5% / 2.5%), probability-weighted 25% / 50% / 25%.

The bear case is required to be genuinely adverse and to sit below the current price: it models an actual earnings trough (EPS –40% in 2027, –5% in 2028) with buybacks suspended through 2028, the 2020 playbook. Terminal value is computed on year-10 distributions at normalized mid-cycle credit costs — never on today's 2.0% write-off rate or reserve-release-assisted provisions — and any terminal value exceeding 70% of equity value is haircut and disclosed.

We cross-check the DCF against trading multiples and the payout-implied yield. The published target is the probability-weighted fair value, stated as a 12-month horizon reference. Risk ratings (Low / Medium / Medium-High / High) combine business volatility, balance-sheet strength, and valuation; Medium here reflects a superb franchise whose earnings remain cyclically exposed and whose multiple is full.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.